

Perspectives on the Hungarian Audiovisual Industry:
BUDAPEST AS ONE OF THE BIGGEST EUROPEAN PRODUCTION HUBS FOR HOLLYWOOD

Zsófia Eszter Ördög

Universidade Lusófona de Humanidades e Tecnologias

Introduction to the Industry

Manuel José Damásio

December 5th, 2021

Abstract

With the globalisation of the film industry, fiscal incentives became very popular worldwide to attract foreign inward investment and strengthen local production sectors. For that, global competition started among regions and countries. In the past decade Hungary reached certain popularity and from its peripheral position turned into the second biggest European production hub for Hollywood after London. The reason for that is an effective incentive scheme, which was introduced earlier than in any other country in the region, and now has a high value of 30% which can be maximised up to 37,5%. However, incentives are a very efficient way to attract foreign capital into a country, according to some producers, it is only accounted for around 50% of the decision. For long term success having the complementing human resources and supporting infrastructure is crucial. This report intends to analyse how Hungary could have reached this leading position within a decade and what impacts does it have on the local film industry and economy. It also aims to identify the possible outcomes and threats for keeping the advantages in the wider European context.

Budapest as one of the Biggest European Production Hub for Hollywood

The globalisation of the film industry leads to shifting production away from established and globally recognized hubs such as Hollywood or Western Europe. This phenomenon is referred to as 'runaway production' (Stachowiak & Strykiewicz, 2018, p223) which is by definition, a film that will be exploited in the United States but was shot outside of Hollywood or abroad. There are two types of runaway productions: creative and economic. Creative runaway productions are justified by the artistic choice to use a natural setting to enhance the plot; economic runaway productions, on the other hand, are meant to lower production costs than those practised in Californian studios (Peltzman, 2011, p.1).

In the last decade, many Hollywood blockbusters and high-end television series chose Hungary as a production destination, and Budapest, from the semiperipheral position, turned into the second biggest Hollywood production hub in Europe after London (Sayfo, 2020, p.43). Among others, some popular movies were shot in Hungary like *Dune* (Villeneuve, D., 2021), *Blade Runner 2049* (Villeneuve, D., 2017), *The Martian* (Scott, R. 2015), *World War Z* (Forster, M., 2013), *Terminator: Dark Fate* (Miller, T., 2019), *The Witcher* (Netflix, 2019), *Midsommar* (Aster, A. 2019), *A Good Day to Die Hard* (Moore, J., 2013), *Munich* (Spielberg, S. 2005).

Hungary introduced a new film law in 2004, the Motion Picture Act II.¹ “one of the most comprehensive pieces of film legislation that have been passed in Eastern Europe since 1989” (Cunningham, 2010, p.127). Its goal was to increase the international profile of Hungarian films while also enhancing and preserving the industry's values (Olsberg, 2014, p.87). Also, it introduced an indirect state subsidy earlier than any other Central European country. The model became successful, and later, many other European countries followed this scheme. The question is that how can Hungary keep its leading position in the growing competition in a long run.

¹ The first Motion Picture Act was legislated in 1918 in a very different political and industrial environment.

Fiscal Incentives

Governments are increasingly recognizing incentives as an efficient and strategic tool to attract high-value inward investment, strengthen local production sectors, and build skills, employment, and infrastructure in a competitive global market where audio-visual production spending has reached unprecedented levels (SPI, Global Incentives Index 2021). They can provide producers with the cornerstone of a finance plan and play a decisive role in where productions are located. The European Audiovisual Observatory distinct three main types of incentives commonly used in Europe (2014):

Tax shelters

Tax shelters are intended to attract investment from high-net-worth individuals or high-tax-paying businesses that may deduct qualified production investments from their tax liability. In many countries where organizations pay considerable amounts of tax, the tax shelter investment concept has been used to support a variety of different sectors, not only audio-visual.

Rebates

Rebates are paid directly from the state budget and are determined by production expenditure rather than levels of investment, compensating producers a percentage of their qualifying budget items according to a specified set of standards. In recent years, this has been an increasingly popular concept to apply when introducing a new or enhancing an existing incentive, due to fewer parties being involved, and the system is more transparent, easier to control, and administratively simpler. The system may often be self-financing. The rebate payment typically occurs months after the spending has taken place and the finances have been audited.

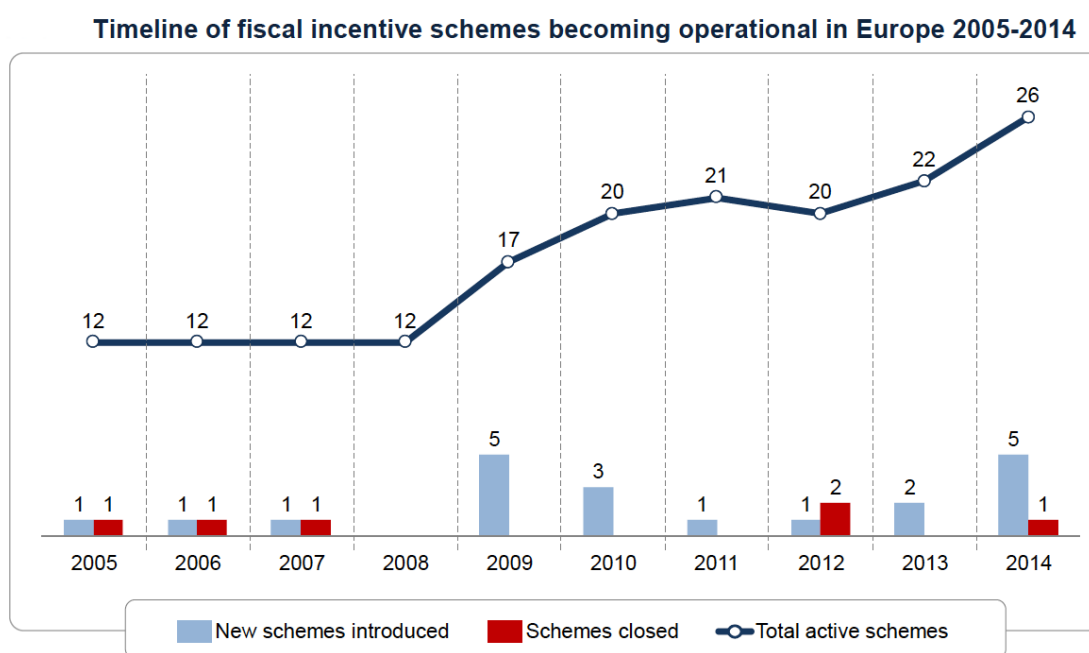
Tax credits

This model is quite similar to the Rebate model, except for the way the tax credit is claimed. Some national finance authorities do not want to give rebates to companies that also owe tax. Rather than being paid from a designated fund, the incentive is instead being put against the

producer's tax liability when a corporate annual return is filed. As a result, the incentive reduces the amount of tax owed, and any surplus that remains after the liabilities are settled is paid in cash (Olsberg, 2014, p.26).

As seen in *figure 1*, between 2005 and 2014, the number of fiscal incentives more than doubled in ten years. Fourteen new schemes were introduced in Europe, mostly in the form of cash rebates. At the end of 2014, there were a total of twenty-six incentive schemes in seventeen European countries.

Figure 1



Source: report of the European Audiovisual Observatory and Olsberg•SPI on the impact of fiscal incentive schemes on the production of film and audio-visual works in Europe (2015, Strasbourg)

A global competition started among countries to attract foreign, mostly big-budget American productions to boost local economies. *Table 1* contains a summary of existing European incentive schemes based on Olsberg SPI's recent report in 2021.

Table 1*Fiscal Incentives for film productions in European countries (2021)*

<i>Country</i>	<i>Type</i>	<i>Value</i>	<i>Additional value</i>	<i>Annual budget</i>
Austria	<i>rebate</i>	30%	<i>extra support up to EUR 25 000 if HoD is female</i>	€7.5m
Belgium	<i>Tax shelter</i>	42%	-	-
Croatia	<i>rebate</i>	25%	<i>5% for filming in underdeveloped regions</i>	€10.9m
Czech Rep.	<i>rebate</i>	20%	<i>66% rebate on withholding tax paid in Czechia by foreign cast and crew</i>	€32.4m
Estonia	<i>rebate</i>	20-30%	<i>Depending on Estonian expenditure and engaging Estonian creative staff</i>	-
Finland	<i>rebate</i>	25%	-	-
France	<i>rebate</i>	30%	<i>40% for VFX heavy productions</i>	-
Georgia	<i>rebate</i>	20%	<i>5% if promoting Georgia</i>	-
Germany	<i>rebate</i>	20-25%	<i>(Germany has 3 different types of incentives)</i>	~ €150m
Greece	<i>rebate</i>	40%	-	€75m
Hungary	<i>rebate</i>	30%	<i>20% of non-Hungarian spend is also eligible, the total can be up to 37,5%</i>	€95m
Iceland	<i>rebate</i>	25%	-	-
Ireland	<i>Tax credit</i>	32-37%	-	-
Italy	<i>Tax credit</i>	40%	-	€25m
Latvia	<i>rebate</i>	20%	<i>5% if Latvia features culturally</i>	€1.1m
Lithuania	<i>Tax shelter</i>	30%	-	€50m
Malta	<i>rebate</i>	30%	<i>5% if Malta features as Malta</i>	-
Montenegro	<i>rebate</i>	25%	-	-
Netherlands	<i>rebate</i>	35%	-	€19,25m
Norway	<i>rebate</i>	25%	-	€10.3m
Poland	<i>rebate</i>	30%	-	€50m
Portugal	<i>rebate</i>	25-30%	<i>5% for significant cultural or economic impact</i>	€12m
Russia	<i>rebate</i>	30%	<i>Up to 10% depending on qualification test</i>	€1.2m
Serbia	<i>rebate</i>	25%	<i>30% if Serbian expenditure over 5m EUR</i>	€8.5m
Slovakia	<i>rebate</i>	33%	-	-
Slovenia	<i>rebate</i>	25%	-	€1m

Spain	<i>rebate</i>	25-30%	50% rebate in the Canary Islands, but cannot exceed 50% of total production costs	-
Turkey	<i>rebate</i>	30%	-	€5m
UK	<i>Tax credit</i>	25%	-	-

Source: SPI, *Global Incentives Index 2021*

The Hungarian Indirect State Support System

The 'Vajna era' (2011-2019)

However, the Film Law included a 20% Tax Shelter scheme since 2004, the big breakthrough in the Hungarian film industry started with Hungarian-born American film producer, late Andrew G. Vajna. After his Hollywood career, he returned to Hungary and was appointed as Government Commissioner for Film in 2011. He reorganised the Motion Picture Public Fund (MMKA) as Hungarian National Film Fund² (NFA) and managed to get a high percentage of the profit of the *Six Lottery* automatically transferred to the Film Fund, making its budget €17 million, a national record (Sayfo, 2020, p.46). His responsibility was to revive the film industry both on a domestic and international level. Between 2013 and 2019 Hungarian productions won approximately three hundred international awards, including two Academy Awards: *Son of Saul* (Nemes, L., 2015) Best Foreign Language Film, and *Sing* (Deák, K., 2016) Best Live Action Short Film, and an Oscar shortlist and a Golden Bear for *On body and Soul* (Enyedi, I., 2017). As a great promotion, this helped to put the Hungarian film industry into an international focus.

Being the producer of some Hollywood blockbusters³ Vajna had an extended personal network system. Also he brought some of his productions to Hungary like *I Spy* (Thomas, B., 2002), *Evita* (Parker, A., 1996) and *Red Heat* (Hill, W., 1988). But it is not like he would have tempted his friends to shoot in his home country, but rather that he saw the weaknesses of the Hungarian system, what obstacles are needed to be removed, thus making the film industry as a whole more

² After his death in 2019 it was reorganized again as National Film Institute (NFI)

³ among of others he was producer of movies from Terminator, Rambo and Die Hard franchises

competitive. He was able to think according to the logic of American filmmakers while understanding the flaws of the Hungarian system: “Bureaucracy is very streamlined. Having been a producer, I know what the issues are and so I try to smooth them out before they happen, and that seems to work really well”— he said (Barraclogh, 2017).

Fiscal Incentive

Hungary has a two-tier production system based on direct state support for domestic films and coproduction, and an indirect subsidy in the form of cash rebate for film and related productions (Sayfo, 2020, p.45). Hungary was one of the first in central Europe to introduce indirect state support for film production in 2004 which very quickly become effective and helped to pull productions from the already very popular Prague where the foreign service boom started a decade earlier and was the leader in the region since the late 90s (Szczepanik, 2016, p.92). Firstly, it was introduced as a tax shelter, companies could offer their corporate tax to support the film industry to reduce their tax liabilities. But soon other sectors became supportable in this form, such as sport and theatre, so less investment came to films. In addition, the scheme had begun to show significant leakage, with intermediaries pocketing a significant amount of the incentive's value in commission. In certain cases, this accounted for up to 40% of the total value, reducing production investment (Olsberg, 2014, p.88). Therefore, in 2012 Vajna recommended creating a state deposit account with an annual budget, operated by the National Film Institute to funnel funding to productions, eliminating the layer of intermediaries previously engaged (Olsberg, 2014, p.88), which is now ensuring that the tax refund can be provided much faster and more calculatable compared to its regional competitors (Portfolio, 2019). Seeing the success of the model, many European countries introduced new incentives, mostly in the form of cash rebates. Consequently, Vajna decided to further increase the rebate two times to maintain the Hungarian film industry's competitiveness and the leading position in the international market. First, in 2014 the Hungarian government raised the value to 25% - after the Czech government introduced their 20% rebate in 2010 (Szczepanik, 2016, p.93). Then, in 2018,

the Hungarian indirect state support was raised again to 30% for all eligible local expenses. *Figure 2* illustrates a simple calculation example of the 30% rebate scheme (National Film Institute, 2021).

There is no cap per project and the annual budget is HUF 33 billion in 2021 (90m EUR). The scheme is part of the film support programme approved by the European Commission until the 31st of December 2024 (*Olsberg•SPI*, 2021).

Figure 2

Calculation example of the 30% Hungarian Tax Rebate System



Source: Hungarian National Film Institute, 2021

The following expenses can be eligible as Hungarian expenditure:

- Direct production expenses paid during pre-production, production, and post-production
- Accommodation and living expenses in Hungary, and travel costs to or from Hungary
- Wages: above- and below-the-line, when paid by the qualified Hungarian production
- The total amount of royalties and producer fees, but may not exceed 4% of the cost of production
- Advertising costs until HUF 10 million or up to 2% of the total production costs

There is an element that makes the Hungarian scheme unique, that 20% of the budget which is non-Hungarian spending is also eligible for the rebate (capped at 25% of the eligible Hungarian

spend), so the value of the total rebate can be maximised up to 37,5%. „So now you can take your Hungarian crew to Jamaica for a few weeks of location shooting, and you’ll get a rebate on those labour costs.” – says Adam Goodman, CEO of MidAtlantic production company (Curtin & Sanson, 2017, pp.159).

Economic impacts

The inflow of foreign capital in the Hungarian market mainly generates domestic consumption and the money does not flow back abroad. Most of the consumption is thus realized in GDP growth, and this in tax revenues. This is called the multiplier effect (Portfolio, 2019).

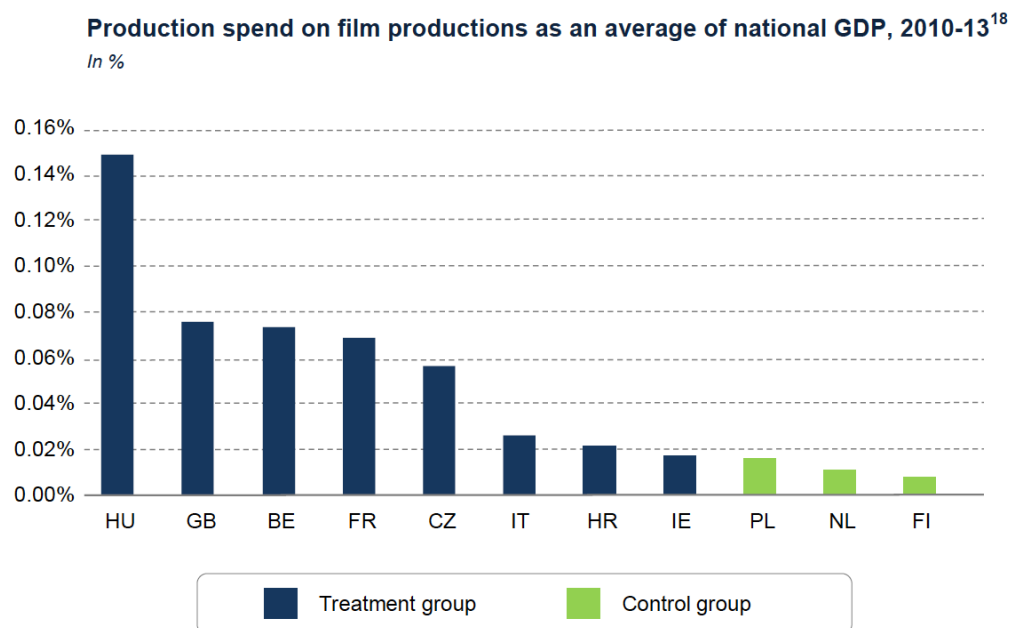
In 2017, consulting companies OrienTax⁴ and Candole Partners analysed the impacts of the rebate system in Hungary. The report states that every HUF 1 rebate granted to film productions generates HUF 1.25 tax revenue, increasing the GDP by HUF 3.24. Furthermore, HUF 1 billion tax refund helps to create 555 jobs (National Film Institute, 2017). Other key findings that were made according to 2017 data:

- The total economic effect is 12.4 times, ie. the support provided in the form of a tax refund of HUF 1,000 (taking into account the induced effects) causes an increase in demand of HUF 12,384 for the actors of the national economy.
- The film support system is the only form of support in Hungary today, which generates a short-term profit
- The total revenue of the film industry raised more than 20 times in 16 years (the total revenue of the film industry was only HUF 3 billion in 2004 while in 2017 it was over HUF 100 billion)

⁴ now part of Andersen Global

According to the European Audiovisual Observatory's 2015 report, between 2010-2014 film production in Hungary accounted for 0.15% of gross domestic product (*figure 3*) — one of the highest proportions in Europe (Olsberg SPI, 2015).

Figure 3



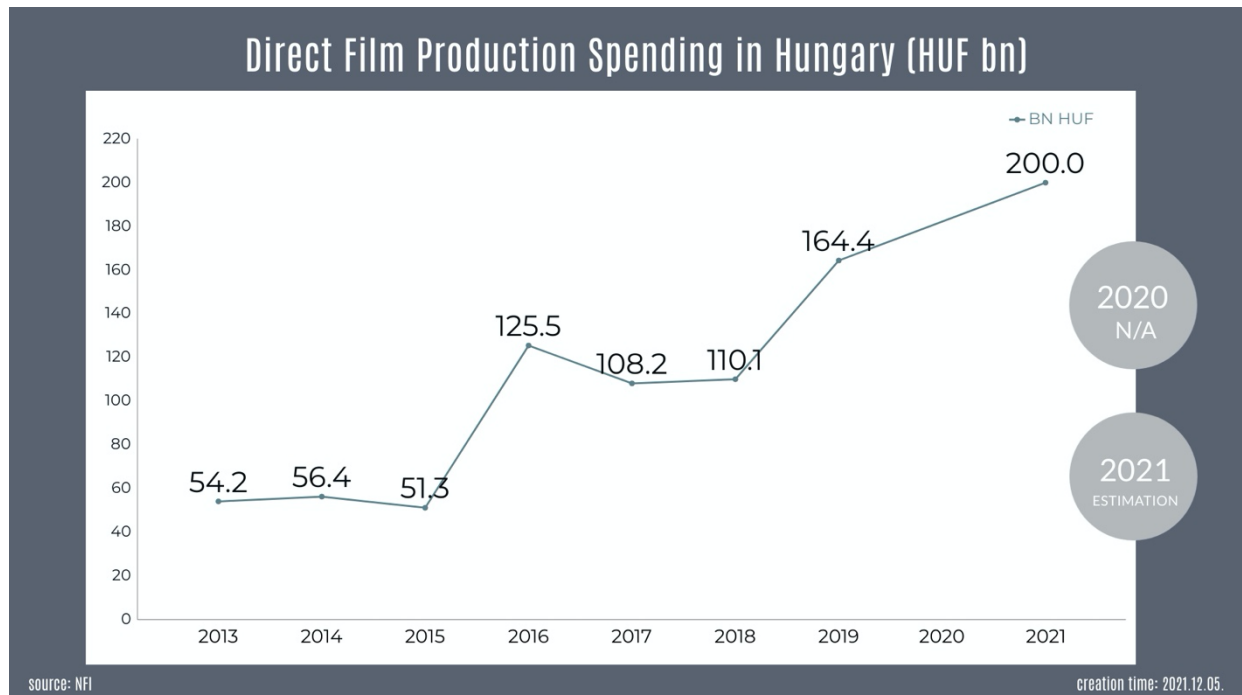
Source: SPI analysis of national data

Source: report of the European Audiovisual Observatory and Olsberg•SPI on the impact of fiscal incentive schemes on the production of film and audiovisual works in Europe (2015, Strasbourg)

The film industry became a key strategic sector in Hungary, boosting and setting a new record year by year. From 2015 to 2019 the direct film production spending in Hungary tripled, while in 2015 it was 51.3 billion HUF, the spending reached 164.4 billion HUF (€450 million) in 2019 and increased by almost 50% compared to the previous year. With this, the volume of domestic film

production has exceeded HUF 100 billion (€274m) for the fourth year in a row (*figure 4*). Foreign productions accounted for 94% of total spending in 2019.

Figure 4



Source: National Film Institute, 2019, 2021b

2020 was unfavourable globally for film productions due to the pandemic. However in Hungary production had stopped only for a few months, and foreign filmmakers were exempted from the lockdown and could return relatively early, and thanks to quick and efficient measures the production could continue in June 2020, finishing the shooting of *Dune* (Villeneuve, D. 2021), *The Unbearable Weight of Massive Talent* starring Nicolas Cage (Gormican, T. 2022), and Sarah Adina Smith's feature debut *Birds of Paradise* (2021). *Terra Vision* (Netflix, 2022) and *Halo* (Microsoft, Showtime, 2022) could also restart the work in Origo studios (Varga, 2021). According to preliminary registrations, the Hungarian film industry is closing a record year in 2021, with spending exceeding HUF 200 billion (€548m) (National Film Institute, 2021b & MTI, 2021, November 21). Hungary hosted productions like the Marvel franchise's *Moon Knight* (Moench, D.

2022) with Oscar Isaac and Ethan Hawke. Cate Blanchett, Kevin Hart, and Jamie Lee Curtis worked on *Borderlands* (Roth, E. 2022), Willem Dafoe is starring *Poor Things* (Lanthimos, Y. 2022), and Mel Gibson recently arrived to film the John Wick spin-off miniseries *The Continental* (Lionsgate Television, 2022-).

Impacts on the domestic film industry

Foreign productions are taking advantage of the cheap labour and production costs, however, from the destination country's perspective it is not necessarily perceived as exploitation (Sayfo, p.44). The main question is how profitable is for the local industry to specialize in foreign contract works for the long run, and how to create a win-win situation (Berkes, 2018).

There is an implicit and sometimes explicit presumption that international productions will "cross-subsidize" the domestic industry and capacity (Moran, A., 1996 in Stachowiak & Strykiewicz, 2019). However, it does not always affect domestic production, since foreign producers have shown little interest in reshaping local production by employing local above-the-line talent or department heads. Although, being among the best-paid members of the labour market, Hungarian wage-workers have little creative autonomy, and upward mobility is only possible within the below-the-line spectrum, and they are never promoted to heads of departments (Sayfo, p.51). "I always remind my local crew that they are not equal to their US or UK counterparts. The foreign department head is the boss. End of story. Deal with it. It's never going to change. They have more responsibility and more authority" – says Adam Goodman CEO and service producer at Mid Atlantic Films (Curtin & Sanson, 2017, p.163-164).

Despite this, the Hungarian crew demonstrates a high level of commitment as they share a sense of belonging to an exclusive group defined by working habits and organizational culture, embraced U.S. production practices that differs from domestic productions (Sayfo, p.51). Moreover, modern studios, accessible high-end equipment, and a pool of below-the-line labour that had earned adequate expertise by working on Hollywood movies enabled the local filmmakers to

achieve conditions similar to high-end productions (Sayfo, 2020, p.55). The local professionals can learn new technics, and build their professional image through the prestige of working with ‘the Americans’.

On the other hand, this can also create tension, as local filmmakers might require the same circumstances as they used to in Hollywood productions, but domestic productions cannot afford such conditions, for example, bigger crews and higher wages. Also, the industry is struggling with a scarcity of professionals, as the demand is constantly growing. Likewise, local productions may find it difficult to hire camera crew or other crew members, because they would rather go to service productions and earn double as in the local environment. The Hungarian film industry creates jobs for around 20.000 people including domestic and foreign productions (National Film Institute, 2020).

Other Factors of Competitiveness

However incentives are a very efficient way to attract foreign capital into a country, according to some producers, it is only accounted for around 50% of the decision. Attributing the success only to the incentives would lead to a narrow understanding of the location selection process (Irimiás, 2015, p.40).

Locations

Filming locations are very diverse in Hungary, one can find everything except the sea and high mountains. Budapest is known to have a thousand faces, and its architecture is extremely diverse, already doubled many cities like Moscow, Paris, London, Berlin or even Baltimore, Los Angeles or Buenos Aires (Berkes, 2018). Studio backlots with permanent sets such as the New York, medieval, renaissance, and WWII military barracks can further extend the opportunities.

Apart from the state subsidy system, Hungary’s advantage is that it is very easy to book locations (Liczkay, 2020). One of Vajna’s reforms is the “one-stop-shop system” for location-reservation, the customer can make any necessary steps in one office responsible for the whole

country, and the prices are unified (Sayfo, p.50). Budapest is a film-friendly city, offering solutions that couldn't be possible in some other countries, like closing entire streets in the downtown or motorways due to action scenes (Berkes, 2018). The production of *A Good Day to Die Hard* (Moore, J. 2013) in which Budapest doubled as Moscow, demonstrated the government's willingness to assist film crews. The M3 highway, a key traffic artery, was closed for four days to facilitate the shoot involving 200-vehicles (Barraclogh, 2017). It was not always that easy, during the shooting of *World War Z* (Forster, M. 2013) the Hungarian Counter-Terrorism Unit together with the SWAT raided the set and started an investigation on the weapons brought into the country. The production company couldn't allow another situation like that, and Goodman was lobbying for a legislative change at the Parliament: "Look, you can change the laws or you can lose US \$40 million in local spend and income when these movies choose another location" (Curtin & Sanson, 2017, P.167). The government seemed to realise what is at stake and willing to cooperate in most cases.

Infrastructure

Hollywood productions demand modern studios and equipment. There are three main warehouses in Hungary that can serve several productions at the same time: Sparks Camera and Lighting LTD, Visionteam, and ARRI Rental, with its 2,400-square-meter facility near Budapest, which supplied *Blade Runner 2049* (Villeneuve, D. 2018) with a full camera, grip, and lighting package. The demand for ARRI equipment, according to the company's head of international sales, indicates greater production values of the movies being filmed in the country (Barraclogh, 2017). Hungary's investment in studio expansion over the past decade has led to a significant competitive advantage, several film studios can host more than one high-profile production at the same time.

However, studio occupancy reached a critical point in the recent years, therefore, in 2020, the government announced the development of the National Film Institute's Mafilm studios, increasing its capacity to 12,200 square meters, opening four new soundstages. The huge expansion of the studio complex is part of the economic protection programme, and this is the largest state-

funded studio development in Hungary. "We firmly believe that the Hungarian film industry will only be able to keep its leading position and competitiveness in the international industry if we are focusing now on the development" – commented Csaba Káel, film commissioner (National Film Institute, 2020b). Mafilm has continental Europe's largest outdoor water tank: 47m x 39m x 2m (National Film Institute, 2020a), which was built for filming *Blade Runner 2049* (Villeneuve, D. 2018) and used in *Terminator: Dark Fate* (Miller, T. 2019) recently.

Origo Studios is the biggest Hollywood standard facility in Hungary and one of the biggest movie studios in Europe, including 8 soundstages, 2 VFX/multimedia stages. Besides, it offers a state-of-the-art post-production facility and 2899 sqm of office space available for rent (ORIGO Studios, 2021).

Vajna founded *Korda Studios*⁵ in 2007, which has 6 soundstages meeting the industry's highest level of expectations. Studio 6 is around 6000 square meters in size, making it unique worldwide. Also, it offers 10 hectares of backlot sets: New York, Renaissance and Medieval (Korda Studios, 2017).

Astra Studios has 6 stages with a total of 8096 square meters of studio space of high standards and offers a huge and quiet land for exterior film sets in its neighbourhood (Astra Studios, 2021). The studio's further plan is to build a bigger complex *Astra Filmland*, financed by private investors spending HUF 40 billion. This could be one of Europe's largest film production complexes that would even compete with London (Budapest Reporter, 2021).

Qualified below-the-line crew and wages

An important consideration is the amount of qualified workforce in the country, along with their language skills. In the last ten years, thanks to the service productions, an experienced crew base has been evolved in Hungary, they are used to the foreign environment and practices, and has been able to join the international film industry. Hungary is strong in camera crew; assistants, gaffers

⁵ The studio is named after Sir Alexander Korda, a Hungarian-born British film producer and director

and grips, art department, stunts and animal trainers (Progressive Productions, 2021). Hungarian union rules are much more loosened than those in the United States. Shooting is allowed six days a week, twelve hours a day, and overtime is common and affordable (Berkes, 2018).

Currently, Budapest is a very popular filming destination, but this can change easily if the industry can't meet the growing demands for studio capacity and skilled labour. Therefore, the National Film Fund launched the Fast Forward program offering masterclasses in different areas, along with a trainee program, funded by a 0.5% levy on movie's local spend, that will help boost the ranks of below-the-line talent (Barrachlogh, 2017). Similarly, some studios are planning to create their own training program to meet the growing demands.

György Rajnai CEO of Korda Studios points out, that overall production costs in Hungary are 30%-35 per cent cheaper than in the United States or the United Kingdom, and 25% lower than in Western Europe and Canada. (Barrachlogh, 2017). However, the growth of demand in recent years had the consequence that the Hungarian crew raises the price every year, and it is only a matter of time before the huge price difference between the countries disappears. That could also result in foreign productions migrating even further to the east (Berkes, 2018).

Local Production Companies

Having trustworthy local production companies is crucial to consolidating the country's reputation and building a clientele. They are playing the role of cultural mediators between Hollywood and Eastern Europe, and are responsible for communication, creating Hollywood-style working conditions and a smooth production environment. The two biggest Budapest based service companies are Mid Atlantic established in 2004 and Pioneer Stillking in 2011. "We are very aware that to bring a movie here and not deliver would be the kiss of death. It wouldn't take long before we got a bad reputation" - Says Adam Goodman, CEO of Mid Atlantic (Barrachlogh, 2017). It is not a coincidence, that the two biggest production companies are run by American or British ex-pats: "the cultural connection establishes a level of comfort and sense of confidence. A studio doesn't want to

spend the level of money they're spending here without working with a known entity. We are the known entity. And we know the value of 1000 forints. We know what that will buy you. A foreign producer does not. And that makes them vulnerable" – adds Goodman (Curtin & Sanson, 2017, p.167).

Word of Mouth

Trust, loyalty and personal contacts are also pull factors, along with tax credits and incentives. Filmmaking is a personal business where 'word of mouth' (WoM) among professionals has a considerable effect; personal and professional relationships, as well as previous positive experiences, play a significant role in location selection (Irimias, 2015, p.40), WoM is a free advertisement for a country.

Comfort and touristic attributes

Comfort and the tourist potential of a country are paramount. It is important to satisfy the cast and crew living and spending their leisure time for months in a foreign country. There are three important rules to follow for a successful shoot abroad: "Keep your staff happy, well-fed, and don't take advantage of them" (Berkes, 2018). In addition to the outstanding tourist facilities, the hospitality industry is strong in Budapest, which makes filming here comfortable (Gosztola, 2021).

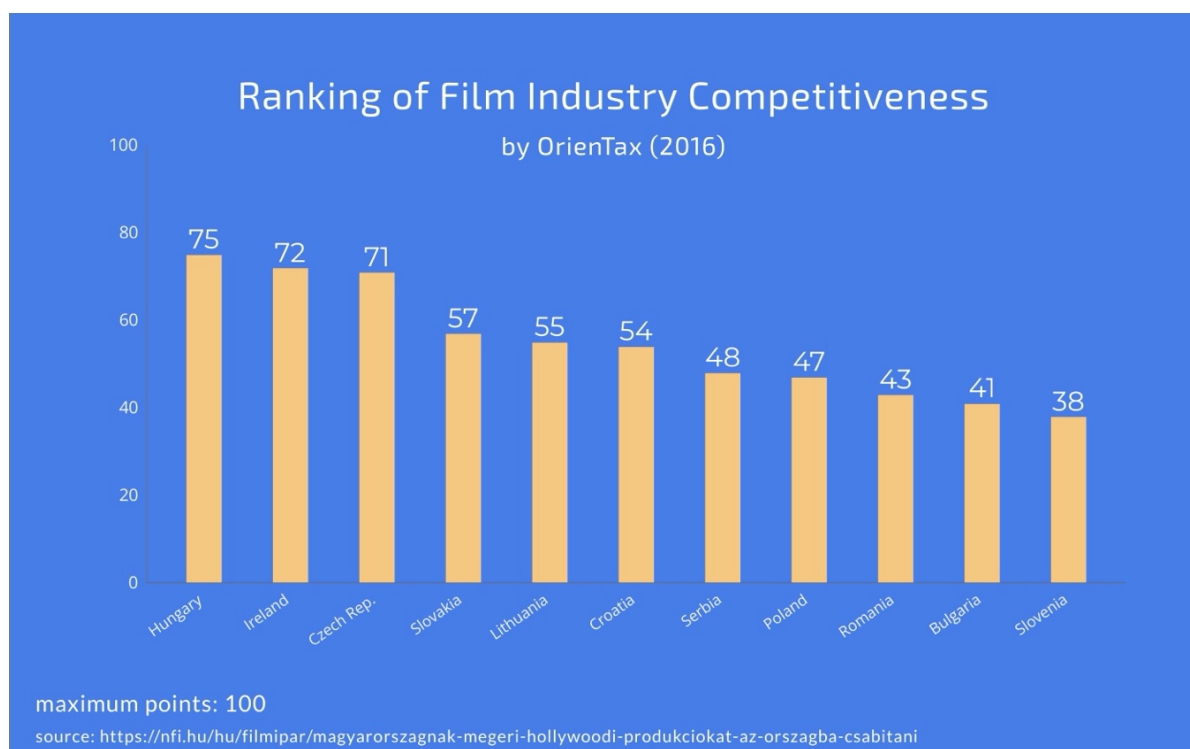
Since the 2012 boom, there is growing international attention of 'Hollywood celebrities' encounters in Budapest, and are widely reported by the media (Sayfo, p.50). Hosting celebrities who are willing to share their good experience is a free advertisement for the country. Nowadays, many stars are especially asking for Budapest to be the main venue (Portfolio 2019).

The fact that the forint is not strong is another advantage, Károly Radnai, lead analyst at OrienTax (Andersen Global) points out that with the depreciation of Forint, Hungary will be a cheaper place in euros, pounds or dollars (Sztójcsev, 2020).

COMPETITORS

On behalf of the Hungarian National Film Fund, in 2016, OrientTax examined the efficacy and scope of the film industry in eleven countries. Hungary is mainly compared to film industries in Central and Eastern Europe with similar price and wage levels when looking for a production destination. The political environment, average price and wage levels, foreign exchange stability, available film infrastructure, and language skills were taken into account during the survey. Of course, in addition to the factors examined, there are several other, mainly subjective aspects that may play a role in the individual decisions of each production. Based on the analysis, Hungary, Ireland and the Czech Republic are at the forefront of the competitiveness of the film industry (Figure 5). Hungary currently has only a slight competitive advantage over its two most important rivals but is significantly ahead of the other eight countries surveyed.

Figure 5



Source: *nfi.hu*, 2017, OrientTax survey (2016)

Hungary has an advantage in the amount and efficiency of subsidies and the development of the film industry infrastructure. The transparency of production budgets and the clarity of the use of subsidies have significantly improved in the past years.

Considering price and wage levels, Hungary is in the middle, only a bit ahead of its main rival, the Czech Republic.

In terms of the political and regulatory environment, Hungary is slightly behind the Czech Republic and Ireland, according to World Bank data.

Hungary was the worst performer considering language skills, with only 20% of the population speaking at least conversational level of English, according to a 2012 Eurobarometer survey.

The overall top rank is due to it being first in only some of the aspects but is performed on average or above average in nearly all other parameters except language skills (NFI.hu, 2017).

SWOT analysis

STRENGTHS	WEAKNESSES
• 30% cash rebate system (up to 37,5%) • Good infrastructure (studio, labour) • Good locations and easy to book • Transparent system • Local production companies • Word of mouth	• Limitations of studio capacity • Shortage of workforce • Rising prices • Language skills • Education system
OPPORTUNITIES	THREATS
• Try to sell high-added-value processes • Stimulate international cooperation • Promoting locals as HODs • Promoting Budapest to feature Budapest • Film induced tourism	• Competitors • Political environment • Death of Andy Vajna

Conclusions

In the globalizing film industry, the competition is increasing among smaller local industries to attract foreign productions. If local film industries are to compete successfully, they must implement fundamental changes, otherwise, they would be unable to attract investment. Fiscal incentives can lead to competition between and within regions and nations. However, without the development of complementing human resources and supporting infrastructure, incentives are insufficient to produce long-term local advantages (Stachowiak & Strykiewicz, 2018).

The Hungarian film industry is very small, it would be hard to function without foreign investments, relying only on domestic production and local market. In the last fifteen years, due to the high amount of foreign productions, Hungary witnessed an unprecedented boost in the film industry which affects the whole national economy. The biggest question is how to preserve its regional leading position and economic growth.

The **strength** of the Hungarian model is an efficient and reliable cash rebate system with a relatively high value, which was introduced earlier than any other country in the region. Also, film

commissioner, late Andy Vajna played an important role in simplifying and smoothing the defects of the system. But this would not be attractive enough without a highly developed infrastructure and a huge qualified below-the-line labour pool, that had already proven in many blockbusters. Local production companies learnt how to deliver high profile projects and meet expectations. Therefore, American producers are happy to return to work in Hungary or even promote it to their colleagues.

The **weakness** of the system is that the studios are already working at full capacity, and soon there will be a shortage of qualified labour too. Therefore, the state started educational and trainee programs, and studios are investing in expansion. The Hungarian film industry is on its zenith, if it can't keep up with the growing interests, the investors might go to the neighbouring countries. Because of the growing demands, professionals try to raise their prices each year hoping to reach western European wages which can also diminish the advantage of cheap labour that the country once had.

Hungary needs to improve on language skills too, which is below the European average. The fact that the Hungarian government recently privatized (causing a huge civil protest) the number one film school in the country (SZFE⁶), cancelled the obligation of a language exam as a criterion of a higher education degree, and in general, the deterioration of public education in the country is worrying.

Hungary needs to keep its leading position that creates job opportunities and economic growth. One of the main **opportunities** would be to stimulate international cooperation, for example selling not only infrastructure and service but high-added-value manufacturing processes like music composing or visual effects, also to promote local professionals to higher positions, and heads of departments. Viktória Petrányi, producer at Proton Cinema mentioned, that Hungary is already providing cameramen or set designers to medium-sized foreign productions. The development of quality, creative service can increase competitiveness (Sipos, 2017). Similarly, Budapest is proven to

⁶ University of Theatre and Film Arts in Budapest

be a great double for many cities, but giving more role to Budapest featuring as Budapest, could be another advancement, and free advertisement for the country.

The main **threats** of the system are the competing neighbouring countries, offering similarly attractive fiscal incentives and diverse locations. Considering labour prices, it is presumable that in the future, runaway productions will migrate even more to the east to cheaper countries. When choosing a production location, it is important to consider the touristic attributes, the way of living and the political environment of a country. Once, Budapest was a great city to enjoy, but the overall international reputation of the country is deteriorating due to the government's undeniable shift to an anti-democratic and illiberal state form. Also, the intolerance against immigrants and the LGBTQ community can lead to a negative perception of the country.

Last but not least, Andrew Vajna's death in January 2019 was a significant loss with a still undetermined impact on the Hungarian film industry. Hopefully, the system Vajna has created is stable enough to maintain its advantages.

References

- Astra Studios. (2021). *Astra Studios*. Astra Filmstudio. <https://www.astrafilmstudio.com/>
- Barracloagh, L. (2017, November 2). *Hungary's Tax Incentives, Skilled Workers and Low Costs Lure World Filmmakers*. Variety. <https://variety.com/2017/artisans/spotlight/atomic-blonde-blade-runner-2049-1202605003-1202605003/>
- Berkes J. (2018, April). *A magyar filmipar átalakulása a szervízprodukciók hatására*. metropolis.hu. <https://metropolis.org.hu/a-magyar-filmipar-atalakulasa-a-szervizprodukciok-hatasara>
- Budapest Reporter. (2021, September 20). *Astra Film Studios expands – interview with Gábor Rajna*. <https://www.budapestreporter.com/astra-film-studios-expands-interview-with-gabor-rajna/>
- Cunningham, J. (2010). The Hungarian tax credit system and the 20% rebate scheme. *Studies in Eastern European Cinema*, 1(1), 127–132. <https://doi.org/10.1386/seec.1.1.127/7>
- Curtin, M., & Sanson, K. (2017). *Voices of Labor: Creativity, Craft, and Conflict in Global Hollywood*. University of California Press Oakland, California.
- European Audiovisual Observatory and Olsberg•SPI. (2015, June). *Observatory publishes new report on the impact of fiscal incentive schemes on the production of film and audiovisual works in Europe*.
- Hungarian Tax Credit for Film Productions | Guide to the Hungarian Tax Credit System*. (2021). Hungarian Tax Credit. <https://hungariantaxcredit.com/>
- Gosztola J. (2021, September 22). *Özönlenek Magyarországra a hollywoodi filmesek: alig bírják a stúdiók, kevés a szakember*. Pénzcentrum. <https://www.penzcentrum.hu/karrier/20210922/ozonlenek-magyarorszag-a-hollywoodi-filmesek-alig-birjak-a-studiok-keves-a-szakember-1117948>
- Irimiás, A. (2015). Business Tourism Aspects of Film Tourism: The Case of Budapest. *Almatourism - Journal of Tourism, Culture and Territorial Development*, 6(4), 35–46. <https://doi.org/10.6092/issn.2036-5195/4952>
- Korda Studios. (2017, October 30). *Korda Studio*. Korda Filmstudios. <https://kordastudio.hu/>
- Licskay, P. (2020, March 10). *Hungary continues to be the "Hollywood of the Danube."* Daily News Hungary. <https://dailynewshungary.com/hungary-continues-to-be-the-hollywood-of-the-danube/>
- Mafilm Studios*. (2015, February 17). *Filming in Hungary*. <https://filminginhungary.com/mafilm-studios>

MTI. (2021, November 22). *MTI*. MTI - Hungarian Telegraphic Office.

<http://www.mti.hu/mti/Default.aspx?ReturnUrl=%2fPages%2fnews.aspx%3fnewsid%3d1088748%26lang%3dhun&newsid=1088748&lang=hun#1088748>

National Film Institute. (2017, February 7). *Megéri hollywoodi produciókat az országba csábítani*.

Nemzeti Filmintézet. <https://nfi.hu/hu/filmipar/magyarorszag-nak-megeri-hollywoodi-produkciokat-az-orszagba-csabitani>

National Film Institute. (2018a, July 18). *Hungary's Rebate Scheme Raised from 25% to 30%*.

<https://nfi.hu/en/about-us/data-processing-policy/industry/hungarys-rebate-scheme-raised-from-25-to-30-1>

National Film Institute. (2018b, September 17). *2017-ben is 100 milliárd fölött a filmipari összköltség*.

<https://nfi.hu/hu/filmipar/2017-ben-is-100-milliard-folott-a-filmipari-osszkoltes>

National Film Institute. (2020a, March 13). *Hungary: The European Hub for Hollywood*.

<https://nfi.hu/en/news/the-european-hub-for-hollywood>

National Film Institute. (2020b, April 22). *Huge expansion at NFI Mafilm studios*.

<https://nfi.hu/en/news/huge-expansion-at-nfi-mafilm-studios>

National Film Institute. (2020c, July 1). *Film and TV Production Resume in Hungary – Record-breaking*

spend in 2019. <https://nfi.hu/en/news/film-and-tv-production-resume-in-hungary-record-breaking-spend-in-2019>

National Film Institute. (2021a, August 27). *Hungary: The Most Popular Filming Destination in Continental*

Europe. <https://nfi.hu/en/news/hungary-the-most-popular-filming-destination-in-continental-europe>

National Film Institute. (2021b, November 22). *Csúcsot dönt a filmipar*. [https://nfi.hu/hu/hirek/csucsot-](https://nfi.hu/hu/hirek/csucsot-dont-a-filmipar)

[dont-a-filmipar](https://nfi.hu/hu/hirek/csucsot-dont-a-filmipar)

Olsberg, J., Barnes, A., European Audiovisual Observatory, & Council of Europe. (2014). *Impact Analysis of*

Fiscal Incentive Schemes Supporting Film and Audiovisual Production in Europe. European

Audiovisual Observatory.

Olsberg SPI. (2021, November 24). *November 2021 update of SPI's Global Incentives Index now available.*

<https://www.o-spi.com/news/november-2021-update-of-spi-global-incentives-index>

ORIGO Studios Budapest. (2021). Origo Studios Budapest. <https://origostudios.com/>

Peltzman, D. (2011). The Impact of Runaway Productions on Hollywood Labor Organizations. *InMedia*, 1.

<https://doi.org/10.4000/inmedia.123>

Portfolio.hu. (2019, December 19). *Már nem csak az adókedvezmény miatt özönlenek a hollywoodi*

produkciók Budapestre. [https://www.portfolio.hu/gazdasag/20191219/mar-nem-csak-az-](https://www.portfolio.hu/gazdasag/20191219/mar-nem-csak-az-adokedvezmeny-miatt-ozonlenek-a-hollywoodi-produkciok-budapestre-410391)

[adokedvezmeny-miatt-ozonlenek-a-hollywoodi-produkciok-budapestre-410391](https://www.portfolio.hu/gazdasag/20191219/mar-nem-csak-az-adokedvezmeny-miatt-ozonlenek-a-hollywoodi-produkciok-budapestre-410391)

Piac & Profit. (2002, March 27). - *Piac&Profit - A kv-k oldala.*

<https://piacesprofit.hu/gazdasag/bermunkatlansag/>

Progressive Productions. (2021, July 2). *Shooting in Hungary: Film Crews in Budapest.*

<https://progressiveproductions.eu/insights/hungary/film-crew-in-budapest-union-working-hours>

Sayfo, O. (2020). Set for Success: Hollywood Runaway Productions in Socialist and Post-socialist Hungary.

Media Industries Journal, 7(1). <https://doi.org/10.3998/mij.15031809.0007.103>

Sipos Z. (2017, February 8). *Andy Vajna: Budapest Európa egyik filmes központja.* <https://www.origo.hu/>.

<https://www.origo.hu/gazdasag/20170207-a-hollywoodi-produkciok-london-mellett-budapestet-szeretik-a-legjobban.html>

Stachowiak, K., & Strykiewicz, T. (2018). The rise of film production locations and specialised film services in European semi-peripheries. *Hungarian Geographical Bulletin*, 67(3), 223–237.

<https://doi.org/10.15201/hungeobull.67.3.2>

Szczepanik, P. (2016) in Transnational Crews and Postsocialist Precarity: Globalizing Screen Media Labor in Prague. In M. Curtin & K. Sanson (Eds.), *Precarious Creativity: Global Media, Local Labor* (pp. 88–103). University of California Press. <http://www.jstor.org/stable/10.1525/j.ctt1ffjn40.11>

Varga, D. (2021, October 6). *Hungarian Film Industry Is Booming in 2021 - FilmNewEurope.com.*

<https://www.filmneweurope.com/news/hungary-news/item/122427-hungarian-film-industry-is-booming-in-2021>